



INTERIM FINANCIAL STATEMENTS

31 DECEMBER 2020



Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 31 December

		Three Months Ended 31 December 2020 Unaudited	Three Months Ended 31 December 2019 Unaudited
	Note	Rs	Rs
Revenue		616,500,986	565,790,117
Gross written premium	3	608,501,931	527,342,766
Premium ceded to reinsurers	3	(60,312,742)	(37,591,194)
Net written premium		548,189,189	489,751,573
Other revenue			
Fee and commission income	3	11,034,996	6,733,072
Income from investments	5	56,004,578	67,096,903
Realise gain	3	-	-
Other income	3	1,272,223	2,208,570
Total other revenue		68,311,797	76,038,544
Net income		616,500,986	565,790,117
Net insurance benefits and claims paid		(164,287,911)	(100,772,422)
Underwriting and net acquisition costs		(199,836,103)	(164,276,498)
Change in contract liabilities - life fund		67,368,160	(135,589,129)
Other operating and administrative expenses		(81,492,370)	(45,529,773)
Net benefits and claims		(378,248,224)	(446,167,822)
Profit/(Loss) before tax		238,252,762	119,622,295
Income tax expense		(84,068,305)	-
Profit/(Loss) for the period		154,184,457	119,622,295

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 31 December

	Three Months Ended 31 December 2020 Unaudited	Three Months Ended 31 December 2019 Unaudited
Notes	Rs	Rs
Profit / (Loss) for the year	154,184,457	119,622,295
Other comprehensive income		
Other comprehensive income to be reclassified to profit or loss in subsequent periods		
Net change in fair value of available-for-sale assets	(31,040,759)	(7,420,202)
Fair value movement of AFS reserve transferred to life fund	31,040,759	7,420,202
Other comprehensive income not to be reclassified to profit or loss in subsequent periods		
Re-measurement gain on defined benefit plan	-	-
Other comprehensive income	-	-
Total comprehensive income for the period	154,184,457	119,622,295

Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Twelve Months Ended 31 December

		Twelve Months Ended 31 December 2020 Unaudited Rs	Twelve Months Ended 31 December 2019 Audited Rs
	<u>Note</u>		
Revenue		2,051,762,402	1,866,044,524
Gross written premium	3	1,863,045,956	1,633,155,997
Premium ceded to reinsurers	3	(104,445,936)	(88,849,485)
Net written premium		1,758,600,020	1,544,306,512
Other revenue			
Fee and commission income	3	34,222,630	28,825,103
Income from investments	5	253,389,343	261,012,023
Realise gain	3	-	21,327,018
Other income	3	5,550,409	10,573,868
Total other revenue		293,162,382	321,738,012
Net income		2,051,762,402	1,866,044,524
Net insurance benefits and claims paid		(403,332,383)	(306,085,944)
Underwriting and net acquisition costs		(693,477,630)	(657,650,246)
Change in contract liabilities - life fund		(309,498,078)	(221,785,329)
Other operating and administrative expenses		(345,210,364)	(364,417,384)
Net benefits and claims		(1,751,518,455)	(1,549,938,903)
Profit/(Loss) before tax		300,243,946	316,105,621
Income tax expense		(84,068,305)	(88,849,801)
Profit/(Loss) for the period		216,175,641	227,255,819

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Twelve Months Ended 31 December

	Notes	Twelve Months Ended 31 December 2020 Unaudited Rs	Twelve Months Ended 31 December 2019 Unaudited Rs
Profit /(Loss) for the year		216,175,641	227,255,819
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		46,129,731	15,088,972
Fair value movement of AFS reserve transferred to life fund		(46,129,731)	(15,088,972)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other comprehensive income		-	-
Total comprehensive income for the period		216,175,641	227,255,819

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

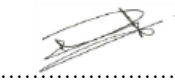
Arpico Insurance PLC

STATEMENT OF FINANCIAL POSITION

As at 31 December 2020

	Notes	31-Dec-20 Unaudited Rs.	31-Dec-19 Audited Rs.
Assets			
Property, plant and equipment		59,060,218	60,142,522
Right of use asset	7	137,336,422	119,555,926
Intangible asset		413,031	675,531
Financial assets	8	2,682,476,453	2,376,948,902
Loans to life policy holders		389,691,763	286,270,410
Reinsurance receivable		79,026,354	68,351,851
Amounts due from related party		6,448,559	51,716,671
Premium receivable		51,893,874	69,528,421
Other assets		66,129,177	103,514,705
Deferred tax asset		131,510,279	215,578,584
Cash and cash equivalents		668,550,370	295,514,738
Total assets		4,272,536,500	3,647,798,261
Equity and liabilities			
Shareholders' equity			
Stated capital		675,564,870	675,564,870
Revenue reserves		1,201,057,296	984,881,654
Total shareholders' equity		1,876,622,166	1,660,446,524
Liabilities			
Insurance provision - life	9	1,918,371,406	1,562,743,701
Employee benefit obligation		14,743,508	11,452,108
Reinsurance creditors		98,940,029	102,961,206
Lease creditors		155,319,117	128,171,022
Amounts due to related party	11	16,573,459	7,203,351
Financial liabilities		132,327,671	132,994,405
Other liabilities		59,639,144	41,825,944
Total liabilities		2,395,914,334	1,987,351,737
Total liabilities and shareholders' equity		4,272,536,500	3,647,798,261

These financial statements are prepared in compliance with the requirements of the companies Act No. 07 of 2007.



 GM -Finance & Operations
 (Melanga A Doolwala)

The board of directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



 Director
 (Viville Perera)



 Director
 (Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

24/02/2021
 Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW

For the Twelve Months Ended 31 December

	2020 Rs.	2019 Rs.
Operating activities		
Receipts from policyholders	1,880,680,503	1,636,699,109
Payment to reinsurer	(108,467,113)	(42,579,411)
Claims paid	(466,433,245)	(349,953,614)
Reinsurance receipts in respect of claims	39,033,133	42,579,411
Other operating cash payments	(645,992,963)	(785,422,742)
Cash inflow from operating activities	698,820,315	501,322,753
Tax paid	4,088,146	(6,628,986)
Net cash flows from operating activities	702,908,460	494,693,766
Investing activities		
Purchase of property and equipment	(24,345,176)	(20,409,093)
Purchase of intangible asset	-	(570,000)
Net drawdown of investments	(305,527,551)	(348,683,106)
Net cash flows used in investing activities	(329,872,727)	(369,662,199)
Financing activities		
Proceeds from share issue	-	-
Stamp duty on share allotment	-	-
Dividend payment	-	-
Net cash flows used in financing activities	-	-
Net (decrease)/increase in cash and cash equivalents	373,035,733	125,031,567
Cash and cash equivalents at 1 January	295,514,738	170,483,254
Cash and cash equivalents at 31 December	668,550,471	295,514,821
Analysis of cash and cash equivalents		
Favourable balances		
Cash at hand	568,025	510,190
Cash at bank	667,982,345	295,004,630
Short term investments	-	-
	668,550,370	295,514,821
Total cash and cash equivalents	668,550,370	295,514,821

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Twelve Months Ended 31 December

	Stated Capital	AFS reserve	Revenue Reserve	Total
	Rs.	Rs.	Rs.	Rs.
Audited balance as at 31st December 2018	675,564,870	-	756,752,988	1,432,317,858
Issue of share capital	-	-	-	-
Share issue expenses	-	-	-	-
Dividend declared	-	-	-	-
Other comprehensive income	-	-	872,847	872,847
Net profit for the period	-	-	227,255,819	227,255,819
Audited balance as at 31 December 2019	675,564,870	-	984,881,655	1,660,446,525
Issue of share capital	-	-	-	-
Other comprehensive income	-	-	-	-
Net profit for the period	-	-	216,175,641	216,175,641
Dividend declared	-	-	-	-
Unaudited balance as at 31 December 2020	675,564,870	-	1,201,057,296	1,876,622,166

- Figures in the these condensed interim financial statements for the period ended 31st December 2020 are provisional and unaudited.
- The condensed interim financial statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the audited financial statements - 2019 have been followed in preparation of these condensed interim financial statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

3. REVENUE	Notes	Twelve Months Ended 31 December Unaudited 2020 Rs	Twelve Months Ended 31 December Unaudited 2019 Rs	Three Months Ended 31 December Unaudited 2020 Rs	Three Months Ended 31 December Unaudited 2019 Rs
Gross written premium	4(a)	1,863,045,956	1,633,155,998	608,501,931	527,342,766
Premium ceded to reinsurers	4(b)	(104,445,936)	(91,607,375)	(60,312,742)	(37,591,194)
Net written premium		1,758,600,020	1,541,548,623	548,189,189	489,751,573
Fees and commission income		34,222,630	28,825,102	11,034,996	6,733,072
Investment income		253,389,343	257,763,250	56,004,578	67,096,903
Other operating revenue		5,550,409	8,272,107	1,272,223	2,208,570
Realise gain		-	21,327,018	-	-
Total revenue		2,051,762,402	1,857,736,099	616,500,986	565,790,117
4. NET WRITTEN PREMIUMS	Notes	Twelve Months Ended 31 December Unaudited 2020 Rs	Twelve Months Ended 31 December Unaudited 2019 Rs	Three Months Ended 31 December Unaudited 2020 Rs	Three Months Ended 31 December Unaudited 2019 Rs
4(a) Gross premiums on insurance contracts					
Conventional policies		1,863,045,956	1,633,155,998	608,501,931	527,342,766
Total gross written premiums		1,863,045,956	1,633,155,998	608,501,931	527,342,766
4 (b). Premiums ceded to reinsurers on insurance contracts					
Conventional policies		(104,445,936)	(91,607,375)	(60,312,742)	(37,591,194)
Total premiums ceded to reinsurers		(104,445,936)	(91,607,375)	(60,312,742)	(37,591,194)
Total net written premiums		1,758,600,020	1,541,548,623	548,189,189	489,751,573
5. INVESTMENT INCOME	Notes	Twelve Months Ended 31 December Unaudited 2020 Rs	Twelve Months Ended 31 December Unaudited 2019 Rs	Three Months Ended 31 December Unaudited 2020 Rs	Three Months Ended 31 December Unaudited 2019 Rs
Available-for-sale financial assets					
Interest income		58,742,118	58,575,161	13,423,151	18,157,106
Loans and receivables interest income		194,647,224	199,188,088	42,581,426	48,939,797
Total investment income		253,389,343	257,763,250	56,004,578	67,096,903

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Twelve Months Ended 31 December Unaudited 2020 Rs	Twelve Months Ended 31 December Unaudited 2019 Rs	Three Months Ended 31 December Unaudited 2020 Rs	Three Months Ended 31 December Unaudited 2019 Rs
Profit /(Loss) for the year	216,175,641	132,091,270	154,184,457	119,622,295
Weighted average number of ordinary shares (Nos)	67,556,487	67,556,487	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	3.20	1.96	2.28	1.77

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

7. Initial Application of SLFRS 16 - Leases

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases. This introduces a single, on-balance sheet lease accounting model for lessees. The standard removes the current distinction between operating and financing leases and requires recognition of an asset and a financial liability to pay rentals for virtually all lease contracts. An optional exemption exists for short term and low-value leases. Lessor accounting remains similar to the current standard. Lessee will be required to separately recognize the interest expense on the lease liability and depreciation expense on the right-of-use asset.

The company as a lessee has applied SLFRS 16 as initial application of 01st January 2019 using the modified retrospective approach at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis and therefore the comparative information has not been restated and continuous to be reported under LKAS 17 at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis.

	31-Dec-20 Unaudited Rs	31-Dec-19 Audited Rs
7.1 Right of use lease asset		
Opening right of use lease asset as at 01st January	119,555,923	137,413,782
Additions of right of use lease asset during the period	68,432,461	30,260,762
Net depreciation for the period	(61,586,962)	(61,291,107)
Advance payment for leases	10,935,000	13,172,489
Closing right of use lease asset as at 31st December	137,336,422	119,555,926
7.2 Amount recognised in statement of profit or loss		
Lease depreciation	(50,681,292)	(48,007,879)
Amortization of advance	(10,905,670)	(13,283,228)
	(61,586,962)	(61,291,107)
7.3 Lease liability (lease creditor)		
Opening lease creditor as at 01st January	128,171,017	123,998,064
Additions during the period	68,432,461	30,260,762
Finance cost recognised in profit and loss	21,892,453	19,120,819
Lease payments	(63,176,816)	(45,208,623)
Closing lease creditors as at 31st December	155,319,116	128,171,022

8. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	31-Dec-20 Unaudited Rs	31-Dec-19 Audited Rs
Loans and receivables	2,304,767,644	2,045,369,823
Available-for-sale financial assets	377,708,809	331,579,078
Total financial instruments	2,682,476,453	2,376,948,901

The following table consists of the fair values of the financial investments together with their carrying values.

		31-Dec-20 Carrying value Unaudited Rs	31-Dec-20 Fair value Unaudited Rs	31-Dec-19 Carrying value Audited Rs	31-Dec-19 Fair value Audited Rs
Loans and receivables	8 (a).	2,304,767,644	2,304,767,644	2,045,369,823	2,045,369,823
Available-for-sale financial assets	8 (b).	377,708,809	377,708,809	331,579,078	331,579,078
Total financial instruments		2,682,476,453	2,682,476,453	2,376,948,901	2,376,948,901
8 (a). Loans and receivables					
Investment in corporate debt				778,008,327	841,836,533
Investment in fixed deposit				338,372,328	415,254,886
Investment in repos				1,087,364,523	828,278,405
Investment in RPAF Loan				101,022,466	-
				2,304,767,644	2,085,369,823
Provision for impairment				-	(40,000,000)
				2,304,767,644	2,045,369,823
8 (b). Available for sale financial assets					
Investments in government securities				377,708,809	331,579,078
				377,708,809	331,579,078

		31-Dec-20 Unaudited Rs	31-Dec-19 Audited Rs
9. INSURANCE CONTRACT LIABILITIES			
Balance as at beginning		1,562,743,701	1,325,869,400
Change in contract liabilities life fund			
Increase in life insurance fund before surplus transfer	9 (a)	534,133,002	452,938,334
Surplus transferred from share holders		(221,000,000)	(231,153,004)
Increase in life insurance fund		313,133,002	221,785,330
Movement in AFS reserve transferred to life fund		46,129,731	15,088,972
Balance as at end of the period		1,922,006,434	1,562,743,701

9 (a) Increase in life insurance fund before surplus transfer

	2020	December (Unaudited)	
	Gross Insurance Contract Liabilities	Reinsurance on Insurance contract liabilities	Net Insurance Contract Liabilities
	Rs	Rs	Rs
Premiums received	1,872,586,356	(108,768,870)	1,763,817,486
Liabilities paid for death, benefits and claims	(453,040,020)	49,707,636	(403,332,383)
Underwriting and net acquisition costs	(694,480,416)	-	(694,480,416)
Fees (deducted)/received	39,773,039	-	39,773,039
Investment return	174,135,196	-	174,135,196
Realise gain	-	-	-
Other operating and administrative expenses	(345,779,921)	-	(345,779,921)
As at 31 December 2019	593,194,235	(59,061,234)	534,133,002

	2019	December (Audited)	
	Gross Insurance Contract Liabilities	Reinsurance on insurance contract liabilities	Net Insurance Contract Liabilities
	Rs	Rs	Rs
Premiums received	1,633,155,997	(88,849,485)	1,544,306,512
Liabilities paid for death, benefits and claims	(383,409,486)	77,323,542	(306,085,944)
Underwriting and net acquisition costs	(657,650,246)	-	(657,650,246)
Fees (deducted)/received	39,317,922	-	39,317,922
Investment return	175,256,607	-	175,256,607
Realise gain	21,327,018	-	21,327,018
Other operating and administrative expenses	(363,533,537)	-	(363,533,537)
As at 31 December 2019	464,464,275	(11,525,943)	452,938,334

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant actuaries for the year ended 31st December 2019 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 st December, 2019 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consulatan M/S Acturial Partners. Based on that valuation, the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance PLC
Notes to Interim Financial Statements

10. TAXATION AND DEFERRED TAX

Arpico Insurance PLC is liable for income tax at 28% (2018 -28%)

Deferred taxation

	31-Dec-20 Unaudited Rs	31-Dec-19 Audited Rs
Deferred tax assets	131,510,279	215,578,584
Deferred tax asset	131,510,279	215,578,584

Statement of Financial Position				Profit or Loss	
	2020		2019	2020	2019
	Rs	Rs	Rs.	Rs	Rs.
	Unaudited	Unaudited	Audited	Unaudited	Audited
	Temporary	Tax Effect	Temporary	Change in	Change in
	Difference	Assets/(Liability)	Difference	Deferred Tax	Deferred Tax
				Assets/(Liability)	Assets/(Liability)
	469,679,566	131,510,279	769,923,513	(84,068,305)	(88,849,801)
	469,679,566	131,510,279	769,923,513	(84,068,305)	(88,849,801)

The taxation basis of life insurance business changed from 01 April 2018 with the coming into effect of the Inland Revenue Act No. 24 of 2017 where a surplus based taxation basis is adopted replacing what was commonly known as "I-E" basis of taxation. However, the profits of Life Shareholders' fund will be taxed along a basis of "I-E".

Deferred taxation is provided using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount substantively enacted by the reporting date.

Deferred tax assets, including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be fully utilized. Deferred tax assets, if any, are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Accordingly the company made an assessment of future taxable profits and identified that total tax losses can be claimed within the prescribed period of the new Act. Accordingly a deferred tax asset has been recognized amounting to Rs. 131.5 Mn.

11. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	31-Dec-20 Unaudited Rs	31-Dec-19 Audited Rs
Richard Pieris & Company PLC	Ultimate Parent	13,814,529	-
Richard Pieris Distributors Limited	Affiliate	1,929,500	4,378,458
Arpitech (Pvt) Ltd	Affiliate	187,218	369,173
Arpico Interiors (Pvt) Ltd	Affiliate	642,212	2,015,019
RPC Logistics (Pvt) Ltd	Affiliate	-	440,700
		16,573,459	7,203,351

12. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31st December 2020, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

13. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

Arpico Insurance PLC

Notes to Interim Financial Statements

For the Twelve months Ended 31 December

Share Information

Top 20 Shareholders

<u>Name of the Shareholder</u>	As at 31st December 2020	
	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO LTD	15,125,001	22.84
4 MR.J.P.PAUL	1,820,332	2.75
5 MR.C.S.N.SILVAPULLE	668,399	1.01
6 MR.S.SIVASHANTH	550,000	0.83
7 MRS.M.P.B.FERNANDO	425,000	0.64
8 MR.H.V.SENAWEERA	334,856	0.51
9 MYLAND DEVELOPMENTS (PVT) LTD	201,000	0.30
10 MR.A.P.ARUMUGAMPILLAI	200,000	0.30
11 MR.B.A.R.DISSANAYAKE	200,000	0.30
12 PEOPLES LEASING & FINANCE PLC	155,326	0.23
13 MRS.M.S.E.V.E.A.U.VON STUMM	150,000	0.23
14 MR.T.A.N.GOMIS	130,043	0.20
15 MR.M.L.A.BENEDICT	115,530	0.17
16 MR.S.A.OBEYESEKERE	103,300	0.16
17 MERCHANT BANK OF SRI LANKA & FINANCE PLC	100,000	0.15
18 FLYBRUNEI SDN BHD	99,700	0.15
19 MR.P.B.PERERA	83,544	0.13
20 PEOPLES LEASING & FINANCE	79,459	0.12
	65,016,492	98.17

Public shareholding

	As at 31st December 2020	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of shares	6,630,404	10.01%
Float adjusted market capitalization		158,466,656

	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of shareholders	661	99%

Directors' shareholdings

There is no share holding by the directors as at 31st December 2020

Number of Shares

No. of shares representing the stated capital	66,230,407
Class of share	Ordinary
Voting rights	One vote per Ordinary Share

Share performance

Net asset value per share as at 31st December 2020	28.3
Highest price per share for the interim period	24.1
Lowest price per share for the interim period	23.9
Last traded price per share as at 31st December 2020	23.9